

Course Name – Corporate Finance – 12 Credits – MS6621

Description: The course is designed to provide understanding of key functional areas in modern corporate finance with the following learning outcomes.

- Understand the impact of a given business transaction on Income Statement, Balance Sheet and Cash Flow Statement.
- Analyse financial performance of a firm using financial statements.
- Appreciate the concept of time value of money and its applications in project management and corporate finance.
- Acquire the financial skills to manage a corporation.

Course Content:

Unit 1. Financial Reports- Accounting as an information system- Balance Sheet and Income statement

Unit 2. Financial Ratios- Comparative Analysis and Cash Flow statements

Unit 3. Capital Markets and Instruments- Stock exchange- OTC market- Debt instruments, Equity instruments- Derivative instruments

Unit 4. Financial Value - Over view of corporation- Goals of financial management

Unit 5. Time Value of Money- Discounted Cash Flows -Project Valuation- Tools of capital budgeting, Project analysis and Evaluation

Unit 6. Financial Risk- Risk, Return and the Capital Asset Pricing Model -Cost of Debt, Cost of Equity, Cost of Capital

Unit 7. Capital Structure- Financial leverage- Corporate Financing Policy

Unit 8. Working Capital Management: Managing cash and credit requirements, inventory management

Unit 9. Dividend policy- Stock Dividend- Stock Repurchase

Text Books:

Ross, S. A., Westerfield, R.W., and Jaffe, J. Corporate Finance, 11th Edition, Mc Graw

Robert N Anthony, David F H, Kenneth A M, Accounting Text and cases, 12th Edition, Mc Graw

Reference Books:

Brealey, R., Myers, S.C., and Allen, F.. Principles of Corporate Finance, 11th Edition, Mc Graw Hill.

Bruner, R. F., Case Studies in Finance: Managing for Corporate Value Creation, 5th Edition, Tata Mc Graw Hill

Gitman, L. J., Principles of Financial Management, 12th Edition, Pearson-Prentice Hall